UNIVERSITY OF PROFESSIONAL STUDIES, ACCRA

Scholarship with Professionalism

Key Concepts of Service Management

ITIL® 4 Foundation · Chapter 2

Lecture deck for undergraduate and postgraduate IT service management courses. Value, stakeholders, products and services, service relationships, and the outcomes-costs-risks view of value.

SESSION GUIDE

How this chapter is organised

2.1 **Value and value co-creation**

Why value is perceived, and why it is never created by the provider alone.

2.2 **Organisations and stakeholders**

Providers, consumers, and the customer/user/sponsor roles.

2.3 **Products and services**

How resources are configured, and what a service offering contains.

2.4 **Service relationships**

Provision, consumption, and the management of the relationship itself.

2.5 **Value: outcomes, costs, risks**

The balance sheet a consumer uses to judge whether a service is worth it.

LEARNING OBJECTIVES (1 OF 2)

By the end of this chapter you should be able to…

1

Explain service management

State what service management is and why it rests on specialised organisational capabilities rather than on tools.

2

Define value and defend its subjectivity

Show why two consumers of the same service can arrive at opposite judgements of its worth.

3

Describe value co-creation

Contrast the older delivery mindset with the collaborative view, and explain what the consumer contributes.

4

Distinguish the stakeholder roles

Separate organisation, service provider, service consumer, customer, user, and sponsor, and identify them in a live case.

LEARNING OBJECTIVES (2 OF 2)

By the end of this chapter you should be able to…

5

Relate products, services and offerings

Explain how resources become products, and how products are packaged into offerings for target consumer groups.

6

Analyse a service relationship

Break a relationship into provision, consumption, and relationship management, and trace a chain across several organisations.

7

Separate outputs from outcomes

Apply the distinction to a working Ghanaian organisation and explain why providers often misread it.

8

Evaluate value using outcomes, costs and risks

Weigh what a service removes against what it imposes, and assess utility and warranty together.

FRAMING

Why a shared vocabulary matters

Most service failures that reach the news are not failures of technology. They are failures of agreement about what the service was supposed to achieve, who was accountable, and what counted as acceptable performance.

1

Public sector

A ministry procures a system, the vendor delivers what the contract says, and users still cannot do their jobs. Outputs were met; outcomes were not.

2

Banking and fintech

A downtime window that is trivial for the provider falls on salary day for the consumer. Same minutes, very different value.

3

Utilities

Prepaid metering shifts cost and risk between the utility and the customer. Both sides need the same words to negotiate that shift.

4

Higher education

A learning platform is available 99% of the time, yet students cannot submit. Warranty is satisfied while utility is not.

2

Key Concepts of Service Management

The chapter opens with the most basic question of all: what exactly is service management?

Capabilities • **Value** • **Stakeholders**

What is service management?

Service management (working definition)

The set of specialised organisational capabilities an organisation builds up so that it can generate value for its customers in the form of services.

Read that definition slowly. Three words carry the weight:

Specialised

Not general management. Running services well requires its own body of practice, roles and disciplines.

Capabilities

Capacity built over time from people, processes, knowledge and relationships. It cannot be purchased in a box.

Value for customers

The test of the capability is not internal tidiness. It is whether the customer ends up better off.

Building the capability requires three understandings

1

The nature of value

What value is, who judges it, and why the judgement moves between consumers and over time.

2

The stakeholders involved

Who is in the picture beyond the obvious buyer, and what each of them wants from the service.

3

How services enable value

The mechanism by which a configured set of resources ends up producing a result someone cares about.

The rest of Chapter 2 works through these three in order.

THE RUNNING CASE

Sankofa Rides Ltd, Accra

A Ghanaian vehicle-hire and fleet services company operating from Spintex Road, with pick-up points at Kotoka International Airport, Kumasi and Takoradi. We will return to Sankofa on almost every slide, so keep its picture in mind.

A

Ama

A national service personnel on a two-week break. Travels light, changes plans constantly, books everything on her phone.

M

Mr. Oduro

A retired civil servant in Koforidua. Owns no car. Hires one for family functions and hospital visits, and plans a few days ahead.

E

Efua

Facilities manager at a cocoa exporting firm in Tema. Books vehicles for field officers visiting farmer cooperatives in the Western Region.

S

Sankofa's board

Wants fleet utilisation, repeat bookings and a defensible cost per kilometre.

2.1

Value and Value Co-creation

Value is the reason an organisation exists. It is also the concept students most often assume they already understand.

Perception • **Co-creation** • **Collaboration**

The purpose of an organisation is to create value for stakeholders

Value

The benefits, usefulness and importance that a stakeholder perceives something to have.

Perceived

Value sits in the judgement of the beholder, not in the specification sheet.

Relative

It is judged against what the stakeholder wanted, not against what the provider intended.

Unstable

The same service can be valuable in January and worthless in June if circumstances change.

Plural

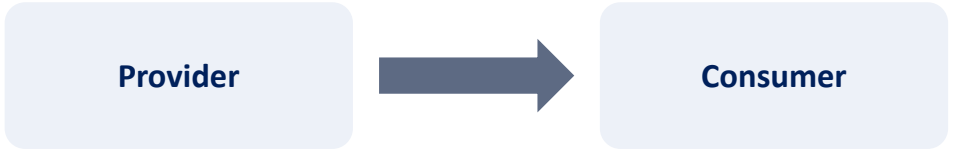
Every stakeholder group holds its own version, and those versions can conflict.

Because value is perceived, it must be discovered through the relationship. It cannot be declared in a project charter.

The mindset ITIL 4 asks you to abandon

For a long time, organisations that called themselves service providers pictured value moving in one direction, like a parcel handed over at a gate. The provider produced, the consumer received, and the relationship ended at the handover point.

The delivery view



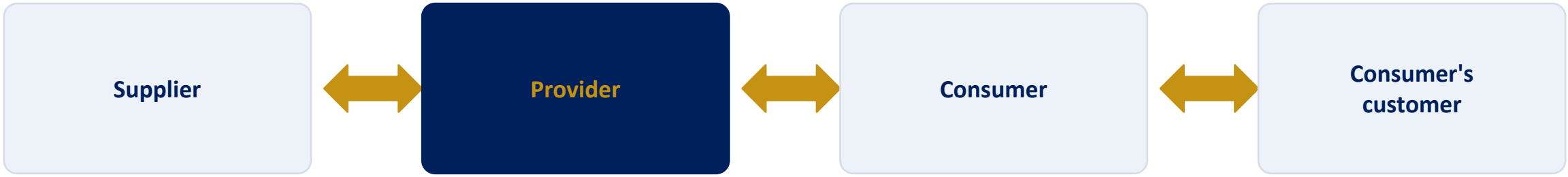
One direction. The consumer is passive. Requirements are guessed at, then defended. Anything the consumer does with the service is somebody else's business.

Why it fails

- Real service relationships are dense and interdependent, not distant.
- The consumer supplies data, decisions, access and effort. Without those, nothing works.
- A provider working alone can only define value by assumption.
- Handover thinking produces systems that pass acceptance tests and fail in use.

Value is co-created, not delivered

Value emerges from active collaboration between the provider, the consumer, and the other organisations sitting in the same service relationship. The provider stops working in isolation to define what the customer should want.



Value flows in both directions across every link

Requirements

Defined jointly, and revisited as the consumer's situation moves.

Design

Consumers and users shape the solution instead of reviewing it at the end.

Provisioning

Consumers often perform part of the service themselves, from self-service portals to their own data entry.

CASE APPLICATION

One offer, three verdicts

Sankofa's marketing team proposes a free extra day of hire on every booking. The team assumes everyone will welcome it.

A Ama

Value means:

Freedom of movement

Takes many short trips and rarely returns to the same town. A spare day sitting on a vehicle she has already left behind is worth nothing to her.

Little value

M Mr. Oduro

Value means:

A car when he needs one, at a price he can defend

Retired, flexible, plans a few days ahead. An extra day is genuinely useful and costs him nothing.

High value

E Efua

Value means:

A consistent standard she can plan around

Field visits are scheduled in advance and vehicles are needed by the day. An extra day complicates her returns process.

Little value

2.2

Organisations, Providers, Consumers and Other Stakeholders

Before you can manage value you must know precisely whose value you are managing.

Organisation • **Provider** • **Consumer** • **Sponsor**

What counts as an organisation?

Organisation

A person, or a group of people, holding its own functions together with the responsibilities, authorities and relationships needed to pursue its objectives.

The definition is deliberately elastic. It stretches across a very wide range of entities:

A sole trader

A single seamstress in Makola operating under her own name

A team

The IT support unit inside a district assembly

A company

Sankofa Rides Ltd

A network

A consortium of legal entities bound by shared objectives and authorities

Increasing size and complexity

Note that the definition says nothing about legal form. An organisation in ITIL terms may or may not be a legal entity.

The same organisation holds different roles at once

As economies grow more connected, every organisation depends on others to operate and to develop. Which role an organisation is in depends entirely on the relationship you are looking at.

Sankofa Rides in a single afternoon

is a PROVIDER when	it hires a saloon car to Efua's field officers for a week in Tarkwa
is a CONSUMER when	it buys tyres from a dealer in Abossey Okai and insurance from a broker in Osu

Practical consequence

Never ask whether an organisation is a provider or a consumer in the abstract. Ask which role it occupies in the specific relationship under discussion. Students who skip this step misidentify stakeholders in almost every case study that follows.

The provider role

Key message

When an organisation provisions services, it takes on the role of service provider. That provider may sit outside the consumer's organisation, or both may belong to the same one.

Internal

An IT department serving other departments in the same company. The traditional ITSM picture, and only one of several.

Commercial

A firm selling services on the open market to other businesses or to individuals.

Alliance

Several organisations collaborating to provide a combined service to consumer organisations.

Shared service

A central unit serving several institutions, common in the Ghanaian public sector.

Whatever the model, the provider must be able to say clearly who its consumers are in a given situation, and who else has a stake in that relationship.

The consumer role, and the roles inside it

Key message

When an organisation receives services, it takes on the role of service consumer.

Service consumer is a generic role. It keeps descriptions of service relationships simple. In practice the role breaks into three more specific ones, which may be held by different people or by the same person.

Customer

Defines what the service must do, and carries responsibility for the outcomes of consuming it.

User

Actually uses the service, day to day.

Sponsor

Authorises the budget that pays for consumption.

These three often have different, and sometimes directly conflicting, expectations of the same service.

WORKED EXAMPLE

Distributing the roles: a Ghanaian bank buys mobile data

A bank headquartered in Accra contracts a mobile network operator to supply data bundles and devices to 400 field officers. The operator is the service provider. Inside the bank, the consumer role splits three ways.

Customer	**Chief Information Officer and the network team**	Analyse what field officers actually need, negotiate the contract, and monitor the operator's performance against what was agreed.
Sponsor	**Chief Finance Officer**	Reviews the proposed arrangement and approves the cost. May never touch the service personally.
User	**All 400 field officers, plus the CIO and CFO themselves**	Order, receive and use the bundles and devices under the agreed terms.

Now compare: a trader in Kejetia buying airtime for her own phone is customer, user and sponsor simultaneously.

CASE APPLICATION

Reading the roles at Sankofa Rides

Service consumers	Everyone who hires vehicles, visits the branches, or uses the website and booking app.
Customers	Ama and Mr. Oduro define their own requirements. At the cocoa exporter, Efua defines requirements on behalf of the field officers.
Users	The drivers and passengers in the vehicles, including colleagues and family members added to a booking.
Sponsors	Efua approves the travel budget although she rarely travels herself. Ama and Mr. Oduro sponsor their own hires.

Where one person holds all three roles, requirements, budget approval and daily use collapse into a single point of view. Where they are split, the provider must manage three different definitions of success.

Beyond provider and consumer

A service relationship sits inside a wider field of interests. Ignoring that field is how organisations lose the licence to operate even when their service works.

Employees

of the provider organisation

Partners and suppliers

upstream in the chain

Investors and shareholders

carrying the capital risk

Regulators

such as the NCA, Bank of Ghana, the Data Protection Commission and the Cyber Security Authority

Social groups and communities

affected by how the organisation operates

Why it matters

If key stakeholders are unhappy with what the organisation does, or with how it does it, the provider's relationships with its consumers are put in jeopardy. Survival, not just success, can depend on this.

What value looks like to each of them

Stakeholder	An example of the value they look for
Service consumers	Outcomes achieved, with costs and risks kept in proportion
Service provider	Funding from the consumer, business development, a stronger reputation
Provider employees	Financial and non-financial reward, career and professional development, a sense of purpose
Society and community	Employment, taxes, and the organisation's contribution to local development
Charitable organisations	Financial and non-financial contributions from other organisations
Shareholders	Financial return such as dividends, together with assurance and stability

Some of this value is direct, such as revenue. Much of it is indirect, such as employee experience or community standing, and is easy to leave out of a business case.

2.3

Products and Services

Services are the central component of service management. Products are what they are built from.

Resources • **Products** • **Offerings**

From resources to products

Key message

The services an organisation provides are built on one or more of its products. Products are configurations of the organisation's resources, assembled by the organisation, that could prove valuable to its customers.

The four resource types

1

People

Staff, their skills, and the way they are organised

2

Information and technology

Systems, data, infrastructure and knowledge

3

Value streams and processes

The sequences of activity that turn demand into results

4

Suppliers and partners

Capability the organisation reaches rather than owns

A product is not a resource. It is a deliberate configuration of resources, put together with a purpose in mind.

Product and service, side by side

Product

A configuration of an organisation's resources, designed so that it can offer value to a consumer.

Service

A means of enabling value co-creation by facilitating outcomes the customer wants, without that customer having to manage the specific costs and risks involved.

The clause students skip

"without the customer having to manage specific costs and risks" is doing the real work in the definition of a service. It explains why anyone buys a service instead of building the capability themselves.

A firm in Tema needs vehicles for field officers

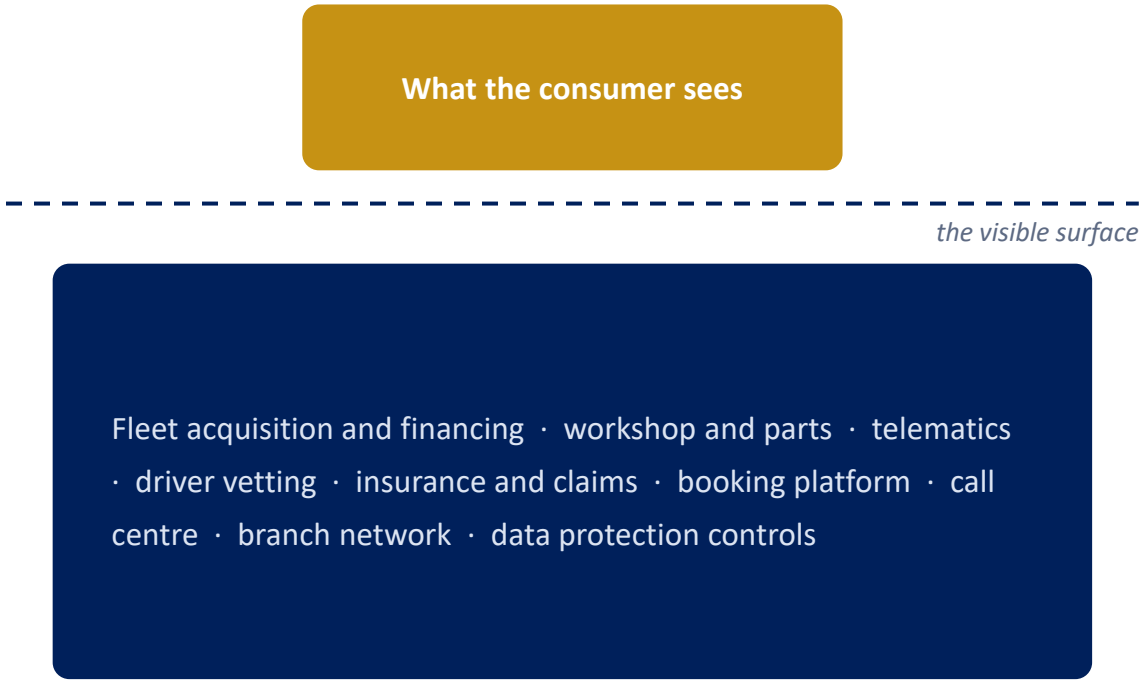
It could buy a fleet, employ drivers, run a workshop, and carry the insurance, depreciation and maintenance risk.

Or it hires from Sankofa

The outcome is facilitated. The costs and risks of ownership stay with Sankofa. That transfer is the service.

Consumers see only part of the product

Products are typically complex, and most of that complexity is hidden. The organisation decides which components the consumer sees, and tailors that view to the target group.



One product, several offerings

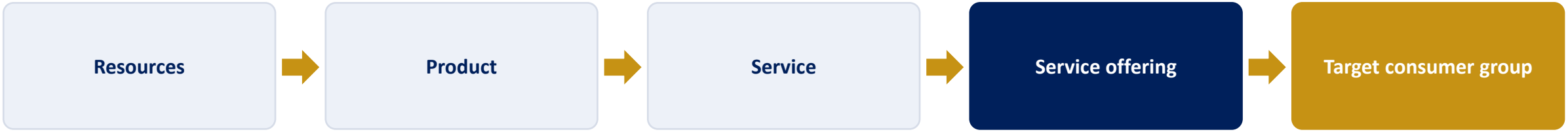
- A product is built with several target consumer groups in mind.
- It is not exclusive to one group, and can serve the needs of many.
- A software product may appear as a free lightweight version for individuals and as a full corporate version, from the same underlying product.
- Sankofa's fleet product supports self-drive holiday hire, corporate field visits, and airport transfers.

How services reach the consumer

Service offering

A formal description of one or more services, shaped to address the needs of a target consumer group. An offering may include goods, access to resources, and service actions.

Providers do not sell consumers a product. They present an offering, which describes one or more services drawn from one or more products.



Different offerings can be built on the same product, which lets one product serve several consumer groups. A software service might be offered as a limited free version or as a comprehensive paid one, both resting on a single product.

Target consumer groups may be internal or external to the provider organisation.

The three components of an offering

Goods

- Supplied to the consumer
- Ownership transfers to the consumer
- The consumer takes responsibility for future use

Examples

A handset issued to a field officer; a physical server

Access to resources

- Ownership does not transfer
- Access is granted or licensed under agreed terms
- Available only during the agreed consumption period

Examples

Access to a mobile network; network storage; a hired vehicle

Service actions

- Performed by the provider to address a consumer need
- Carried out according to the agreement with the consumer

Examples

User support; replacing a faulty item; roadside recovery

CASE APPLICATION

Anatomy of a mobile money offering

Take a mobile money service as offered by a Ghanaian network operator. Split the offering into its three components and the structure becomes obvious.

Goods	A SIM, and in some bundles a handset. Ownership passes to the subscriber, who is then responsible for it.
Access to resources	The wallet, the network, the agent platform and the transaction ledger. None of these are owned by the subscriber; access is licensed for as long as the account is active and in good standing.
Service actions	Agent-assisted cash-in and cash-out, PIN resets, dispute resolution, reversal of a mis-sent transfer, and fraud investigation.

Class question: which of the three components carries the most risk for the consumer, and which carries the most for the provider?

2.4

Service Relationships

Providing a service is not enough. The provider and consumer must cooperate, and that cooperation has to be managed in its own right.

Provision • **Consumption** • **Management**

Cooperation, not transaction

Key message

Service relationships are established between two or more organisations in order to co-create value. Within a relationship an organisation takes the provider role or the consumer role. The two are not mutually exclusive, and most organisations are doing both, with different counterparties, at any moment.

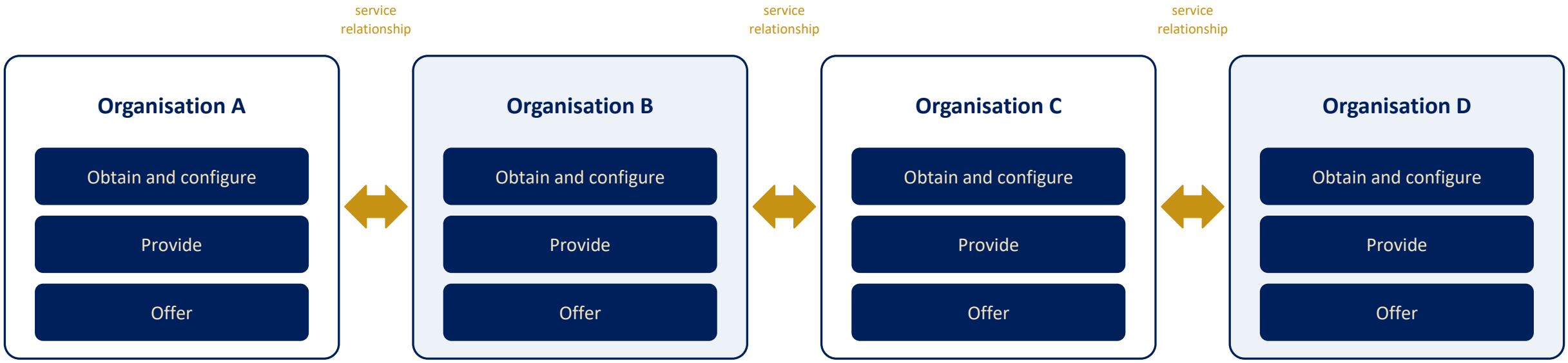
What a delivered service does to the consumer

When a provider delivers, it either creates new resources for the consumer or changes the resources the consumer already has.

A training service	A broadband service	A vehicle-hire service	A software development service
improves the skills of the consumer's employees	allows the consumer's computers to communicate	enables the consumer's staff to reach clients	creates a new application for the consumer

Those new or modified resources let the consumer build its own products for another consumer group, at which point the consumer becomes a provider in turn.

Relationships chain across organisations



Each organisation obtains and configures resources, provides services with them, and offers those services onward. The consumer at one link is the provider at the next.

Trace it: a tyre importer supplies Sankofa Rides, Sankofa hires vehicles to a cocoa exporter, the exporter's field officers visit farmer cooperatives, and the cooperatives supply beans to the exporter's buyers. Four links, four relationships, one chain of value.

Three parts of every service relationship

Service provision

Activities an organisation performs in order to provide services.

- Managing the provider's resources, configured to deliver the service
- Ensuring users can access those resources
- Fulfilling the agreed service actions
- Service level management and continual improvement
- It may also include supplying goods

Service consumption

Activities an organisation performs in order to consume services.

- Managing the consumer's own resources needed to use the service
- Service actions performed by users, including using the provider's resources
- Requesting service actions to be fulfilled
- It may also include receiving goods

Service relationship management

Joint activities performed by provider and consumer together.

- Ensuring value co-creation continues over time
- Based on service offerings that are agreed and actually available
- The part most often left to chance, and the part that decides whether the relationship survives its first serious failure

CASE APPLICATION

Sankofa's web of relationships

1	**Relationships that create new resources**	Vehicle assemblers and dealers selling cars into the fleet; a fintech partner adding in-app payment; a telecoms provider supplying connectivity for the telematics units.
2	**Relationships that modify existing resources**	The internal valeting team and independent mechanics in Abossey Okai keep vehicles clean, roadworthy and safe. Nothing new is added; existing resources are restored to a usable state.
3	**Relationships in which Sankofa is the provider**	Corporate hire to the cocoa exporter, individual hire to Ama and Mr. Oduro, and airport transfer arrangements with two hotels in Osu.

These are only the visible few. A working organisation of this size will hold dozens more, many of them undocumented until something goes wrong.

2.5

Value: Outcomes, Costs and Risks

How a provider should judge what its services ought to do, and how they ought to be provided.

Outcomes • **Costs** • **Risks** • **Utility & warranty**

Services add and subtract at the same time

Key message

Achieving an outcome takes resources, and therefore costs, and usually carries risk. A provider helps consumers reach outcomes and absorbs some of the associated costs and risks. But the relationship also introduces new costs and risks of its own, and can damage some intended outcomes while supporting others.

What the service takes away

- Outcomes it supports
- Costs it removes from the consumer
- Risks it removes from the consumer

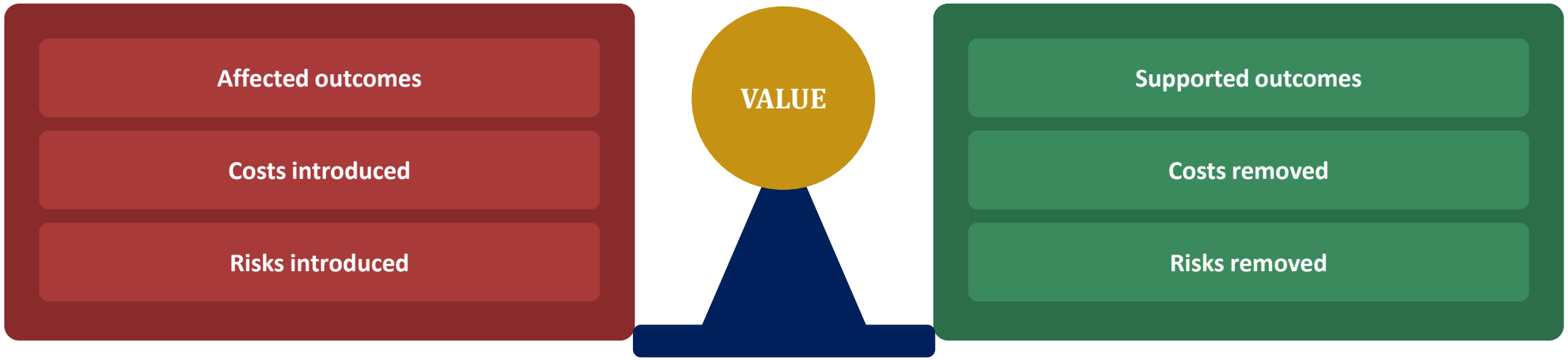
VS

What the service adds

- Outcomes it affects negatively
- Costs it imposes on the consumer
- Risks it imposes on the consumer

The balance a consumer actually strikes

A service relationship is perceived as valuable only when its positive effects outweigh its negative ones. Not when the provider says so, and not when the contract is signed.



The consumer weighs both sides, continuously. A relationship that balanced favourably at signature can tip the other way after one badly handled incident, one price revision, or one change in the consumer's own circumstances.

Outputs are not outcomes

Output

A deliverable of an activity, whether tangible or intangible.

Outcome

A result for a stakeholder, made possible by one or more outputs.

Acting as a provider, an organisation produces outputs. Those outputs help its consumers reach outcomes. The distinction is small on paper and expensive in practice.

Provider	Output	Outcome
A wedding photographer	An album of arranged photographs	Memories preserved, and easily recalled years later by the couple and their family
Sankofa Rides	A clean, roadworthy, well-maintained vehicle at the agreed time	Travel that is convenient and affordable: self-drive holidays, client visits, family occasions
A university IT unit	A learning platform that is available and patched	Students submit work on time and lecturers assess it without loss of data

Contracts and dashboards measure outputs because outputs are easy to count. Consumers judge outcomes.

Three ways a provider comes to know the outcome

Depending on the relationship, a provider may find it genuinely hard to see what the consumer is trying to achieve. Chapter 2 sets out three patterns.

1

Defined jointly

Provider and consumer work out the desired outcomes together. Business relationship managers in internal IT or HR functions do this by talking to customers regularly about needs and expectations.

Internal IT in a bank or a ministry

2

Articulated by the consumer

The consumer states expectations clearly and the provider expects them to. Typical where a standardised service is offered to a wide group.

Mobile operators, internet providers, transport companies

3

Predicted or created by the provider

The provider anticipates, or even generates, demand for an outcome and forms a target group around it. Common with innovations addressing needs consumers had not articulated.

Social platforms, smart home products, mobile money at launch

Two kinds of cost in every relationship

Cost

The amount of money spent on a specific activity or resource.

Costs removed from the consumer

Part of the value proposition. Staff, technology and other resources the consumer no longer has to provide.

The cocoa exporter avoids buying vehicles, employing drivers, and running a workshop.

Costs imposed on the consumer

The cost of consumption. The price charged, plus everything else: staff training, network use, procurement effort, internal administration.

What Efua's firm must invest to use Sankofa well, including her own time managing bookings.

Both sides count. A consumer assessing expected value weighs what the service saves against what it costs to consume, and correct decisions about the relationship depend on understanding the two together. From the provider's side, a full grasp of the cost of provision is what keeps services inside budget and consistent with the organisation's financial expectations.

Two kinds of risk in every relationship

Risk

A possible event that could cause harm or loss, or make objectives harder to achieve. It can equally be framed as uncertainty of outcome, and used to measure the probability of positive as well as negative results.

Risks removed from the consumer

Part of the value proposition. Failure of the consumer's own server hardware, or a shortage of specialist staff, becomes the provider's problem.

A service may only reduce a risk rather than eliminate it. The consumer may still judge that reduction sufficient.

Risks imposed on the consumer

The risks of consumption. The provider could cease trading, suffer a security breach, or lose the data the consumer depends on.

Concentration is its own risk: the more critical the service, the harder the consumer is hit when the provider fails.

Note the definition allows for upside. Risk management is not only about avoiding harm.

The consumer's own contribution to reducing risk

Managing detailed risk on the consumer's behalf is the provider's duty, balanced against what matters most to each side. But the consumer is not a bystander. Three contributions are expected.

1

Participate in defining requirements

Take an active part in specifying what the service must do and clarifying the outcomes required. A consumer who outsources this step will be sold what the provider already builds.

2

Communicate critical success factors and constraints

State plainly what will count as success and what limits apply, whether budgetary, regulatory, seasonal or technical.

3

Give the provider the access it needs

Ensure the provider can reach the consumer's necessary resources, people and information throughout the relationship, not only at the start.

In Ghanaian public procurement this is where most projects are decided. Where user departments disengage after the tender is awarded, the risk they meant to transfer quietly returns to them.

Utility: what the service does

Utility

The functionality a product or service offers to meet a particular need. Utility answers the question of what the service does, and determines whether it is fit for purpose.

To have utility, a service must do at least one of two things

Support the performance of the consumer

It makes the consumer able to do something, or to do it better, faster or at greater scale.

Telematics lets the exporter route field officers efficiently across the Western Region.

Remove constraints from the consumer

It takes away a limitation that was holding the consumer back.

Hiring removes the capital constraint that stopped the exporter reaching remote cooperatives at all.

Many services do both at once.

Warranty: how the service performs

Warranty

Assurance that a product or service will meet agreed requirements. Warranty answers the question of how the service performs, and determines whether it is fit for use. A service provides acceptable warranty when every defined and agreed condition is met.

Availability

Is it there when it is needed?

Capacity

Will it hold up under the load it will actually meet?

Security

Are the consumer's data and assets protected?

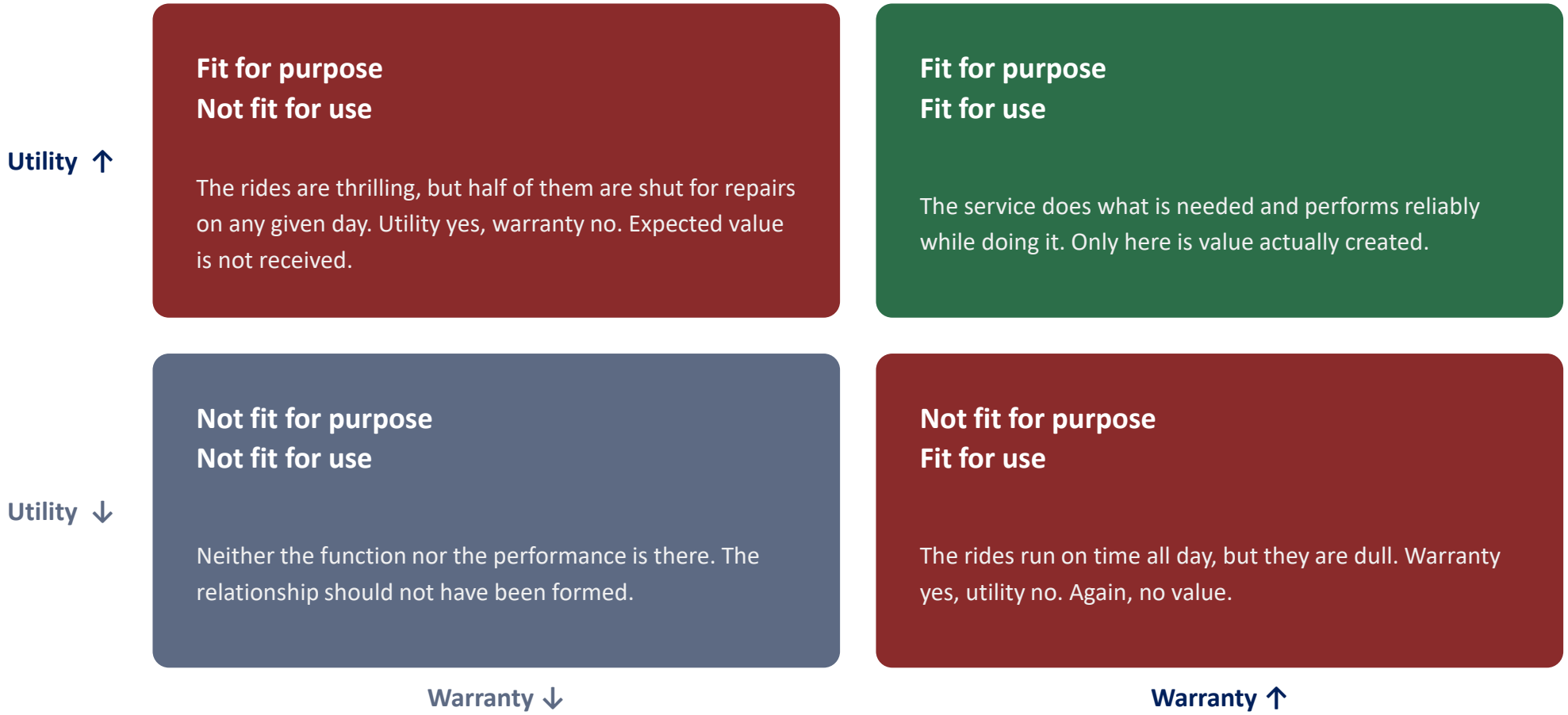
Continuity

Can it recover from disruption within an acceptable window?

Warranty usually relates to service levels aligned with the consumer's needs. Those levels may sit in a formal agreement, but they can also be set by a marketing message or by brand image alone. A consumer who was promised nothing in writing may still hold the provider to what the advertising implied.

Both are necessary; neither is sufficient

A complete assessment also weighs the impact of costs and risks on utility and warranty. Only then do you have a full picture of whether a service is viable.



CASE APPLICATION

A sourcing decision at Sankofa Rides

Customer satisfaction surveys keep returning low scores for vehicle cleanliness, which is depressing repeat bookings. The internal valeting unit is expensive to equip, awkward to roster, and inflexible. Management decides to outsource cleaning to a specialist firm.

What the arrangement removes

- Users encounter consistently clean vehicles
- No need to maintain cleaning facilities and equipment
- The risk of damage during cleaning passes to the supplier and its insurer
- Management attention returns to the core business

What the arrangement introduces

- Sankofa gives up the chance to sell cleaning as a service of its own
- The supplier has to be paid, and prices will be renegotiated
- A heavy dependency on one external firm
- Supplier staff gain wide access to Sankofa premises and vehicles
- Skills and capability are lost internally and are hard to rebuild

At face value outsourcing can look more expensive than doing the work in-house, and at first it often is. Managed well over time it should benefit both organisation and supplier.

CASE APPLICATION

Reading the same decision through the value lens

	Positive side of the balance	Negative side of the balance
Outcomes	Supported: a better travel experience, higher repeat bookings, cleanliness ratings that climb.	Affected: Sankofa's ability to guarantee a same-hour turnaround now depends on another organisation's roster.
Costs	Removed: equipment, consumables, supervision, and the payroll of an inflexible internal unit.	Introduced: the supplier's fees, contract management effort, and the cost of monitoring quality.
Risks	Removed: damage during cleaning now sits with the supplier and its insurer.	Introduced: dependency on a single firm, wide premises access for its staff, and loss of internal capability.

The cleaning firm's work is one component of the overall Sankofa customer experience: a clean vehicle is an output, and it feeds an outcome the customer actually cares about.

3

Contemporary Issues

Chapter 2 was written to be timeless. These are the pressures reshaping how its concepts are applied right now, in Ghana and elsewhere.

AI • **Cloud** • **Regulation** • **Experience**

CONTEMPORARY ISSUE 1

Artificial intelligence and the service relationship

1

Co-creation with a machine in the middle

When a chatbot handles first-line contact, part of the value co-creation is delegated to a system that neither party fully controls. Who is the provider when the model gets it wrong?

2

Utility and warranty of probabilistic services

A model that is right most of the time has utility. Warranty becomes harder: consistency, explainability and recoverability are not settled by an uptime figure.

3

New risks imposed on the consumer

Data used for training, hallucinated advice acted upon, and dependency on a vendor whose model changes underneath the relationship.

4

Costs removed and introduced

Staffing costs fall; costs of oversight, prompt governance, evaluation and rework rise. Both belong in the balance.

Ghana angle: banks and telcos in Accra now route a large share of first-line support through automated agents. The concepts in this chapter are exactly the tools needed to argue about whether that is creating value or moving cost onto the customer.

CONTEMPORARY ISSUE 2

Everything as a service

Cloud and subscription models have turned the service offering components from a teaching device into a commercial reality. Almost nothing is now sold as goods alone.

The shift

- Ownership gives way to licensed access
- Capital expenditure becomes operating expenditure
- Contract terms, not procurement, become the main lever
- Exit becomes the hardest clause to negotiate

What it changes for the consumer

- Costs removed are visible and immediate
- Costs imposed are recurring and escalate quietly
- The consumer no longer controls the upgrade calendar
- Data location and portability become live questions

Ghana-specific pressure

- Foreign-currency pricing against cedi revenue
- Bandwidth cost and reliability outside the main cities
- Sovereignty expectations for public sector data
- Vendor support hours in a different time zone

CONTEMPORARY ISSUE 3

Digital public service delivery in Ghana

Government platforms are among the largest service relationships in the country, and they show every concept in this chapter under stress.

Who is the customer?	The ministry defines requirements, the treasury sponsors, and the citizen uses. The three rarely agree on what success looks like.
Outputs are reported, outcomes are experienced	A portal is delivered and counted. Whether a trader in Techiman can actually complete a filing is a different measurement.
Costs shift onto the citizen	Data bundles, smartphone ownership, travel to a functioning access point, and time spent on failed attempts are all costs of consumption.
Warranty under load	Systems that behave well in testing meet a national deadline and a single day's peak. Capacity is part of warranty, not an afterthought.
Digital divide as an outcome question	A service that works beautifully for the connected and excludes the rest has not achieved the outcome its sponsor intended.

CONTEMPORARY ISSUE 4

From service levels to experience levels

If value is perceived, then measuring only what is easy to instrument will always understate or overstate it. The practical response has been to measure experience alongside performance.

Traditional service levels

- Uptime percentages
- Time to first response
- Tickets closed within target
- Measured by the provider, about the provider

Experience levels

- Was the user able to finish the task?
- Effort required of the user
- Sentiment at the point of use
- Measured with the consumer, about the outcome

The green dashboard problem: every service level is met, and the consumer is still unhappy. That gap is the difference between warranty and value, and it is the single most useful diagnostic in this chapter.

CONTEMPORARY ISSUE 5

Sustainability enters the service relationship

Environmental and social expectations now arrive through the relationship itself. A consumer organisation increasingly asks its providers to carry its own commitments forward, and a provider asks the same of its suppliers.

A new stakeholder at the table

Society and community were always in the stakeholder list. They now arrive with measurable demands and, sometimes, regulatory teeth.

Sustainability as a value component

Consumers factor emissions, e-waste handling and labour practice into their judgement of value, not only price and performance.

Cascading down the chain

Sankofa asks its cleaning supplier to meet the same environmental standards it has promised its own corporate customers.

Ghana context

E-waste handling, diesel generator dependence during supply interruptions, and the lifecycle of imported hardware are the practical local versions of this issue.

A goal of becoming greener is not achievable by one organisation acting alone. It has to be written into the service relationships.

CONTEMPORARY ISSUE 6

Data protection and cyber risk as relationship terms

Two categories from this chapter, risks imposed on the consumer and warranty, now carry statutory weight in Ghana.

Data Protection Act, 2012 (Act 843)	Establishes the Data Protection Commission and the obligations of data controllers and processors. In service terms it fixes who carries which risk when personal data moves between provider and consumer.
Cybersecurity Act, 2020 (Act 1038)	Creates the Cyber Security Authority and licensing and incident-reporting duties. A breach at the provider becomes a reportable event with consequences for both parties.
Sector regulation	The Bank of Ghana and the National Communications Authority impose their own service continuity, security and consumer protection expectations on regulated providers.

Discussion: when a provider suffers a breach, which risks were removed from the consumer and which were imposed? Does the answer change if the consumer chose the cheapest offering on the market?

CONTEMPORARY ISSUE 7

Dependency, capability and the hollowed-out organisation

1

Concentration risk

When a small number of global providers underpin banking, telecoms and government, an outage abroad becomes a national service failure. The risk was transferred, not eliminated.

2

Loss of internal capability

Every outsourcing decision trades cost and flexibility for skills. An organisation that has outsourced for a decade may no longer be able to specify what it needs, let alone bring the work back.

3

Shadow IT and self-provisioning

Departments now procure services directly with a card and a browser. The provider role fragments, and the risks are absorbed by an organisation that never assessed them.

4

The talent question

Ghanaian institutions compete for service management skills with remote employers paying in foreign currency. Capability is the scarce resource, not technology.

Chapter 2 gives you the vocabulary to make these arguments precisely rather than anecdotally.

2.6 SUMMARY

What this chapter established

1. **Value is perceived, and co-created**

   It is never handed over. Providers and consumers, along with other organisations in the relationship, produce it together.

2. **Roles are positional, not permanent**

   Organisation, provider, consumer, customer, user and sponsor describe positions in a particular relationship.

3. **Products configure resources; offerings package services**

   Goods, access to resources and service actions are the three things an offering can contain.

4. **Relationships have three parts**

   Provision, consumption, and the management of the relationship itself.

5. **Value has a balance sheet**

   Outcomes supported and affected, costs removed and imposed, risks removed and imposed. Utility and warranty must both hold.

These concepts are built on throughout the remaining chapters, which turn them into practical and flexible guidance.

REVISION

Key terms at a glance (1 of 2)

Service management	Specialised organisational capabilities for enabling value for customers through services
Value	Perceived benefits, usefulness and importance of something
Organisation	A person or group with its own functions, responsibilities, authorities and relationships
Service provider	The role an organisation takes when provisioning services
Service consumer	The role an organisation takes when receiving services
Customer	Defines requirements and owns the outcomes of consumption
User	Uses the service
Sponsor	Authorises the budget for consumption

Paraphrased for teaching. Consult the official ITIL 4 Foundation publication for the exact examinable wording.

Key terms at a glance (2 of 2)

Product	A configuration of an organisation's resources designed to offer value to a consumer
Service	Enables value co-creation by facilitating outcomes without the customer managing specific costs and risks
Service offering	A formal description of services for a target consumer group: goods, access, service actions
Service relationship	Cooperation between provider and consumer: provision, consumption, relationship management
Output	A tangible or intangible deliverable of an activity
Outcome	A result for a stakeholder enabled by one or more outputs
Cost	Money spent on a specific activity or resource
Risk	A possible event causing harm or loss, or making objectives harder to achieve
Utility	What the service does: fit for purpose
Warranty	How the service performs: fit for use

ASSESSMENT

Self-check questions

1. Explain, in your own words, why value cannot be delivered in the way a parcel is delivered.
2. A hospital in Kumasi contracts a firm to run its records system. Identify the customer, the user and the sponsor, and say why the three may disagree.
3. Distinguish a product from a service offering, using an example from a Ghanaian organisation you know.
4. A provider reports 99.9% availability and the consumer is dissatisfied. Using utility and warranty, give two different explanations.
5. List two costs and two risks that a cloud accounting service removes from a small enterprise in Accra, and two of each that it imposes.
6. Explain why the consumer, not only the provider, is responsible for reducing risk in a service relationship.

Answer in continuous prose, not bullet points. Marks are awarded for applying the concept, not for reciting the definition.

TUTORIAL

Group activity: map a real service relationship

In groups of four, choose one service your group actually uses: a mobile money wallet, the university learning platform, a ride-hailing app, or a utility billing service.

Step 1	**Identify the parties**	Name the provider, the consumer organisation, and every other stakeholder with an interest. Mark which are regulators.
Step 2	**Split the consumer role**	Who is customer, who is user, who is sponsor? Note where one person holds more than one role.
Step 3	**Break down the offering**	What goods, what access to resources, and what service actions does the offering contain?
Step 4	**Build the value balance**	Two columns: outcomes, costs and risks removed against those introduced. Be specific and give figures where you can.
Step 5	**Judge utility and warranty**	Place the service in the two-by-two matrix and defend the placement in one paragraph.

Present in six minutes. Expect to be challenged on whether what you called an outcome is really an output.

SOURCES

References and further reading

Core text	AXELOS (2019). ITIL® Foundation: ITIL 4 Edition. London: TSO. Chapter 2, Key concepts of service management, pp. 6-21.
Companion practice	AXELOS (2019). ITIL® 4: Create, Deliver and Support; ITIL® 4: Drive Stakeholder Value. London: TSO.
Standards	ISO/IEC 20000-1: Information technology, service management, service management system requirements.
Service-dominant logic	Vargo, S.L. and Lusch, R.F. (2004; 2016) on value co-creation, for the theoretical background to section 2.1.
Ghana legal framework	Data Protection Act, 2012 (Act 843); Cybersecurity Act, 2020 (Act 1038); Public Procurement Act, 2003 (Act 663) as amended by Act 914.

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End of Chapter 2

Next: the guiding principles, and how these concepts turn into decisions an organisation can actually make.

Questions and discussion

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